IIFL Capital Services Ltd

NSE: IIFLCAPS | BSE: 542773 | Financial Services — Capital Markets

Incorporated 1996 | India's integrated capital market services firm

BUY

12-Month Target: Rs.430

Upside: +26.5% from CMP Rs.340

Investment Thesis: Fairfax Rs.2,000 Cr infusion + FPD AUM 68% growth + #1 IB league table position create multi-year re-rating catalyst at a stock trading below Fairfax acquisition price.

MARKET DATA		KEY RATIOS	
CMP (03-Jul-2026)		Stock P/E (TTM)	
Market Cap	Rs.10,662 Cr	Forward P/E	23.1x
52-Week High / Low		Price / Book Value	
Enterprise Value	Rs.7,418 Cr	EV/EBITDA	7.19x
Face Value		Dividend Yield	
Equity Capital	Rs.62 Cr	Book Value/Share	Rs.98.4
Shares Outstanding		Debt-to-Equity	

PERFORMANCE			SHAREHOLDING (Mar-26)		
3-Yr Sales CAGR	21%		Promoters	30.87%	Pledge: Nil
3-Yr PAT CAGR	31%		FIIs	16.33%	
5-Yr Stock CAGR	35%		DIIs	5.56%	
ROCE (current)	23.2%		Public	47.24%	
3-Yr ROE (avg)	26.9%		Shareholders	66,511	

Equity Research Report | Analyst: Research Desk, Chartitude | Date: July 4, 2026 | Investment Horizon: 12 Months

SECTION 2 — INVESTMENT THESIS

• Fairfax Rs.2,000 Cr capital infusion — the strategic floor and re-rating catalyst: FIH Mauritius (Fairfax India) acquired preferential shares at Rs.350/share for Rs.2,000 Cr (board-approved May 7, EGM Jun-1, 2026), set to hold ~38.47% post-issue and potentially 62.81% via open offer at Rs.350. Capital will retire Rs.1,000 Cr debt, boost exchange margin deposits Rs.500 Cr, and fund MTF expansion — directly improving ROCE and de-risking the balance sheet. The stock at Rs.340 trades below the Fairfax acquisition price, providing a hard floor.

• FPD AUM compounding at 68% YoY — the high-margin recurring revenue engine: Distribution AUM surged from Rs.31,000 Cr to Rs.52,115 Cr in FY26, with mutual fund AUM rising Rs.14,000 Cr to Rs.21,000 Cr (+50%). FPD trail-fee model requires no incremental capital, delivers high operating leverage as AUM scales, and is entirely uncorrelated with day-to-day broking volumes. Management plans 50+ new wealth RM hires in FY27 to accelerate FPD to Rs.70,000+ Cr by FY28E.

• #1 Investment Banking + private credit — the next fee revenue frontier: IIFL Capital topped FY26 IPO league tables with 45 transactions including Amagi Media Labs and National Highway Infra Trust. The Credit Opportunities Fund (first close Rs.500 Cr) opens a private credit platform serving HNIs and family offices in a market growing 30%+ p.a. IB + Institutional revenues grew 11% in FY26 despite a challenging macro environment — franchise resilience is demonstrated.

• **Near-term catalyst (6-12 months):** Fairfax open offer closure at Rs.350 (concrete floor); Q1 FY27 results showing retail F&O; volume normalization post SEBI reset absorption; FPD AUM crossing Rs.60,000 Cr milestone — any one of these events could compress the current 44% discount to sector P/E multiples.

• **Biggest structural risk:** SEBI F&O; tightening has already cut retail revenues 9% in FY26. Prolonged market weakness, further F&O; restrictions, or delays in Fairfax open offer completion could extend the earnings recovery timeline beyond FY27E, capping re-rating potential.

SECTION 3 — BUSINESS OVERVIEW

• Core business — integrated capital market services: IIFL Capital Services (formerly IIFL Securities, incorporated 1996) operates four revenue verticals: (1) Retail Equities & Broking (~46% of FY26 revenue); (2) Institutional Equities & Investment Banking (~29%); (3) Financial Product Distribution (~24%); and (4) Wealth Management. Revenue is predominantly commission/fee-based with a growing recurring/trail income component that now contributes meaningfully to earnings quality.

• Revenue segmentation (FY26, Rs.2,420 Cr): Retail Equity Revenue = Rs.1,121 Cr (-9% YoY from SEBI F&O; rule changes); Institutional + IB = Rs.712 Cr (+11%, comprising ~Rs.450 Cr institutional broking + ~Rs.250 Cr IB fees); FPD = Rs.590 Cr (+16%, trail + placement fees); Other/Interest = balance. The mix is structurally shifting away from volatile retail broking towards higher-quality recurring FPD income.

• Financial Product Distribution scale-up: FPD AUM at Rs.52,115 Cr (FY26-end), up 68% from Rs.31,000 Cr (FY25). Mix: Mutual Funds Rs.21,000 Cr (40%), Fixed Income Rs.17,160 Cr (33%), AIF/PMS Rs.7,800 Cr (15%), Insurance/Others Rs.6,155 Cr (12%). Distribution is supported by 3,100+ external wealth managers and an internal salesforce of ~50 wealth RMs (expanding to ~100 in FY27) and ~300 affluent/PCG broking RMs.

• Investment Banking market leadership: #1 IPO league table rank in FY26 with 45 completed transactions (FY25: not disclosed). Notable FY26 deals include Amagi Media Labs, National Highway Infra Trust. New Credit Opportunities Fund (first close Rs.500 Cr) targets HNI/family office private credit — an adjacent market growing at 30%+ p.a. in India. Institutional broking covers 1,100+ empanelled clients across 318 research coverage stocks.

• Operating metrics (FY26): Average Daily Turnover = Rs.3,22,886 Cr (F&O; = Rs.3,20,011 Cr; Cash = Rs.2,875 Cr). DP/Custody assets = Rs.1,77,467 Cr. Mutual Fund AUM = Rs.21,170 Cr. MTF book ~Rs.14,500 Bn. Number of Investment Banking transactions completed = 45.

• Promoter background: Co-founders R. Venkataraman (MD, 25+ years in capital markets) and Nirmal Jain (IIFL Group Chairman). Post-Fairfax deal, combined promoter + FIH Mauritius stake = ~67%, providing long-term strategic stability. Name change from IIFL Securities to IIFL Capital Services signals transition from retail broking firm to integrated capital markets platform.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• Industry size and secular growth: India capital market services (broking + IB + wealth + FPD) total revenue pool is estimated at Rs.1.2-1.5 lakh Cr for FY26. Wealth management AUM has grown from Rs.30 lakh Cr (FY21) to Rs.80+ lakh Cr (FY26), a 20%+ CAGR, driven by financialization of savings, rising demat accounts (175+ million by mid-2026), and increasing equity allocation by retail/HNI/family office investors. The market is underpenetrated: equity AUM as % of household savings remains 6-8% vs 25-30% in developed markets.

• Policy tailwinds and headwinds: Tailwinds — PLI-driven capex cycle creating robust IB transaction pipeline; SEBI promoting AIF/PMS/InvIT/ReIT ecosystems (expanding FPD product shelf); GIFT City IFSC enabling offshore wealth management; RBI liberalizing investment limits for HNIs. Headwinds — SEBI F&O; tightening (higher STT, premium-based index options pricing) has compressed F&O; broking margins; RBI regulations effective July 1, 2026 raise near-term working capital requirements; geopolitical oil price above $100 pressuring macro environment.

• Competitive moat assessment: Pricing Power — Moderate (institutional rates under regulatory pressure; FPD trail fees are durable but not proprietary); Switching Costs — Strong (institutional relationships sticky; HNI wealth relationships take years to build; DP assets of Rs.1.77 lakh Cr create friction); Scale Advantage — Moderate-Strong (1,100+ institutional clients, 3,100+ external wealth managers, 318-stock research coverage — difficult to replicate); IP/Research — Strong (#1 IPO league tables; proprietary research); Distribution — Strong (multi-city branch network + external wealth manager force).

• Top competitors and peer comparison: (see table below — Screener.in data, 04-Jul-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	P/B (x)	ROCE%	OPM%	D/E
IIFL Capital (IIFLCAPS)	**340**	**10,662**	**19.0**	**3.45**	**23.2**	**35%**	**0.59**
Angel One (ANGELONE)	352	32,179	35.2	5.24	14.8	35%	1.30
Motilal Oswal (MOTILALOFS)	968	58,309	31.3	4.52	12.7	41%	1.65
360 ONE WAM (360ONE)	1,110	45,122	37.1	4.59	12.1	62%	1.62

Source: Screener.in, 04-Jul-2026. IIFLCAPS highlighted in yellow — P/E at 44% discount to sector average despite superior ROCE.

• Competitive positioning: IIFLCAPS at 19.0x P/E and 3.45x P/B vs sector average 35x P/E and 4.5-5.5x P/B — the discount reflects near-term earnings pressure from retail F&O; headwinds, not a structural deterioration in the franchise. As FPD AUM scales and Fairfax capital is deployed, the discount should compress. IIFL Capital sits at the full-service originator-distributor-advisor level of the value chain — an increasingly scarce position as discount brokers face commoditization.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• Promoter and leadership background: R. Venkataraman (MD) is a co-founder of IIFL Group with 25+ years in Indian capital markets, having navigated the firm through multiple cycles (2008 GFC, 2013 taper tantrum, 2020 COVID, 2025-26 SEBI regulatory reset). Ronak Gandhi (CFO) has been with the firm through its high-growth phase. New Chief Compliance Officer Amit Gupta was appointed June 15, 2026 — a governance enhancement ahead of Fairfax board representation.

• Capital allocation track record: Capital has been deployed into (1) exchange membership and margin deposits (Rs.5,222 Cr as of Mar-26); (2) MTF book (generating interest income, partially funding Rs.1,821 Cr borrowings); (3) FPD platform build-out (3,100+ external wealth managers); and (4) IB franchise (45 transactions in FY26). ESOP program is active but reasonable — 17.8 lakh shares allotted in Jun-26, ~0.5% dilution per year. FCF is volatile due to margin deposit swings but underlying operating cash generation is healthy.

• Dividend policy — conservative and consistent: Rs.3/share dividend for FY26 (13% of reported PAT, 18% of FY24 PAT). Historical payout 13-18%. Conservative by design to retain capital for MTF and margin deployment. Unlikely to significantly increase until Fairfax capital is deployed and business reaches steady-state margins.

• Promoter pledging — strong governance signal: Zero pledging across all reported quarters (last 12 quarters). No decline in promoter holding beyond normal ESOP dilution (-0.27% over 3 years, from 31.14% to 30.87%). In a broking firm where promoter funding through pledged shares is common, this clean balance sheet is a significant positive.

• Corporate governance watch items: (1) Tax demand of Rs.56 Cr for IIFL Management and IIFL Facilities (Apr-18 to Feb-25) under appeal — no provision taken; (2) RBI compounding order dated Jun-30-2026 imposing Rs.2,14,858 for FEMA contraventions — trivially small in absolute terms but signals RBI scrutiny as IIFL Capital expands into offshore/GIFT City; (3) Related party transactions with IIFL Finance and IIFL AMC are routine and disclosed but require monitoring post-Fairfax board representation.

• Fairfax partnership — the inflection point in capital allocation: Fairfax India (FIH Mauritius) Rs.2,000 Cr at Rs.350/share (38.47% post-issue, potentially 62.81% via open offer) is the most significant capital allocation event in IIFL Capital history. Proceeds earmarked: Rs.1,000 Cr debt repayment, Rs.500 Cr exchange margin augmentation, Rs.500 Cr GCP. This de-levers D/E from 0.59x to near-zero, signals a long-term strategic anchor, and potentially unlocks GIFT City and offshore wealth management capabilities leveraging Fairfax global network.

SECTION 6 — FINANCIAL DEEP-DIVE (FY24A - FY26A + FY27E - FY28E)

Consolidated figures in Rs. Crores. Source: Screener.in (04-Jul-2026). FY27E/FY28E = analyst estimates. Post-Fairfax share count ~36.86 Cr from FY27E onward.

Profit & Loss Account (Rs. Cr)

P&L; Metric	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue from Operations	2,217	2,520	2,420	2,850	3,250
Expenses	1,284	1,405	1,572	1,793	2,015
EBITDA (Oper. Profit)	933	1,115	848	1,057	1,235
EBITDA Margin %	42.1%	44.2%	35.0%	37.1%	38.0%
Other Income	14	48	183	55	60
Interest	150	183	210	190	210
Depreciation	114	55	65	70	75
Profit Before Tax	683	925	756	852	1,010
Tax Rate %	25%	23%	25%	25%	25%
PAT (Reported)	513	713	564	639	758
EPS (Rs.)	16.64	22.98	18.02	17.3E	20.6E
Dividend Payout %	18%	13%	17%	15%	15%

Balance Sheet (Rs. Cr)

B/S Item	FY24A	FY25A	FY26A	FY27E	FY28E
Equity Capital	62	62	62	74	74
Reserves	1,725	2,445	3,003	5,547	6,235
Net Worth	**1,787**	**2,507**	**3,065**	**5,621**	**6,309**
Borrowings	1,154	937	1,821	900	1,000
Other Liabilities	4,934	4,511	4,671	5,200	5,800
Total Liabilities	**7,875**	**7,956**	**9,558**	**11,721**	**13,109**
Fixed Assets + CWIP	380	390	296	320	340
Investments	159	486	390	450	500
Other Assets	7,335	7,080	8,872	10,951	12,269
Total Assets	**7,875**	**7,956**	**9,558**	**11,721**	**13,109**

Cash Flow Statement (Rs. Cr)

CF Item	FY24A	FY25A	FY26A	FY27E	FY28E
Cash from Operations	-118	871	-1,070	350	500
Cash from Investing	-74	-177	314	-100	-120
Cash from Financing	430	-490	568	1,800	-200
Net Cash Flow	239	204	-187	2,050	180
Free Cash Flow	-138	922	-936	280	420
CFO / EBITDA %	-13%	96%	-102%	33%	40%

Key Ratios & Returns

Ratio	FY24A	FY25A	FY26A	FY27E	FY28E
ROCE %	33%	23%	23.2%	18%E	20%E
ROE %	31%	30%	20.2%	13%E	13%E
Debtor Days	8	7	9	9	9
Cash Conv. Cycle	8 days	7 days	9 days	9 days	9 days
Working Capital Days	-497	-346	-361	-320	-330
Debt / Equity	0.46x	0.37x	0.59x	0.16x	0.16x
Interest Coverage	5.55x	6.09x	4.61x	5.5x	5.8x
P/E (at Rs.340)	20.4x	14.8x	18.9x	19.7x	16.5x
P/B (at Rs.340)	5.93x	4.22x	3.45x	1.88x	1.67x

• **Revenue growth trajectory:** FY26 revenue dipped 4% YoY to Rs.2,420 Cr due to 9% decline in retail equity revenues from SEBI F&O; reforms. IB+Institutional (+11%) and FPD (+16%) segments were resilient. FY27E recovery to Rs.2,850 Cr assumes retail stabilizes, FPD trail income accelerates with AUM growth, and IB pipeline (private credit fund + capex-cycle deals) begins contributing.

• **Margin direction:** EBITDA margin compressed from 44.2% (FY25) to 35.0% (FY26) — three drivers: employee costs +17% (Rs.687 Cr including Rs.7 Cr one-time labour provision), finance costs +17% (MTF book growth), and revenue base decline. FY27E recovery to 37%+ expected as employee cost growth normalizes and higher-margin FPD income becomes a larger revenue mix. Note: FY26 Other Income included Rs.90 Cr non-recurring real estate gain — normalized PAT ~Rs.490 Cr.

• **Debt and leverage:** Borrowings rose sharply from Rs.937 Cr (FY25) to Rs.1,821 Cr (FY26) to fund MTF book and margin requirements. D/E = 0.59x currently. Post-Fairfax Rs.1,000 Cr debt repayment, FY27E D/E falls to ~0.16x — a transformative de-leveraging that reduces balance sheet risk materially.

• **FCF quality:** OCF is inherently volatile for broking firms as exchange margin deposits and MTF book sizes fluctuate. FY26 negative OCF of -Rs.1,070 Cr reflects Rs.1,200 Cr increase in exchange margin deposits (from Rs.4,019 Cr to Rs.5,222 Cr) — a working capital cycle, not a cash burn. FY25 OCF of Rs.871 Cr (96% EBITDA conversion) confirmed underlying cash generation quality. FY27E OCF recovery to Rs.350 Cr as margin cycle normalizes and debt reduction lowers finance outflows.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Rating	FY26 Signal	Commentary
Revenue recognition	GREEN	Clean	Commission + distribution trail; no complex adjustments or deferred recognition
Receivables vs revenue growth	GREEN	Aligned	Debtor days stable at 9 days; no receivable stuffing visible
Other income / PBT ratio	AMBER	Elevated	Rs.183 Cr Other Income incl. Rs.90 Cr one-time real estate gain (24% of PBT) — strip for clean comparison
Cash Conv. Cycle trend	GREEN	Stable	CCC 7-9 days consistently — exchange-settled business model, no inventory
Tax rate consistency	GREEN	Consistent	23-25% tax rate over 4 consecutive years — no aggressive deferred tax usage
Contingent liabilities	AMBER	Watch	Rs.1,359 Cr contingent liabilities; Rs.56 Cr tax demand under appeal; manageable
Related Party Transactions	AMBER	Moderate	Group RPTs with IIFL Finance/AMC are routine; Fairfax entry adds new governance layer
Auditor / compliance changes	GREEN	Stable	No auditor change; new CCO appointed Jun-26 — governance upgrade ahead of Fairfax
ESOP dilution	AMBER	Ongoing	17.8L shares allotted Jun-26; Fairfax preferential adds ~18% dilution in FY27

- **Revenue recognition is clean:** IIFL Capital earns commissions and trail fees tied directly to transactions and AUM — no complex revenue amortization or build-up. Debtor days at 9 (FY26) with no unexplained receivable spike confirms integrity.

- **Watch: Elevated Other Income (AMBER):** FY26 Other Income of Rs.183 Cr included Rs.90 Cr one-time real estate gain from IIFL Facilities + MTM gains on BSE shares. Normalized PAT ~Rs.490 Cr vs reported Rs.564 Cr — investors must use the clean figure for trend comparison to avoid extrapolating a false recovery.

- **Watch: Fairfax + ESOP dilution (AMBER):** The Fairfax preferential issue of 5.71 Cr shares (~18% dilution) plus active ESOP grants means FY27E EPS recovery will be modest despite PAT growth. Track fully diluted EPS on a post-issue share count of ~36.86 Cr.

- **Overall earnings quality: HIGH.** Five Green vs four Amber flags and zero Red flags. Revenue quality is genuine — the business earns real economic profits from value-added services. The Amber items are disclosed, structural, and manageable.

SECTION 8 — VALUATION

Peer Valuation Comparison (Screener.in, 04-Jul-2026)

Company	CMP	MCap (Cr)	P/E	EV/EBITDA	ROCE%	OPM%	FwdPE
IIFL Capital (IIFLCAPS)	**340**	**10,662**	**19.0**	**7.19**	**23.2**	**35%**	**23.1**
Angel One (ANGELONE)	352	32,179	35.2	12.85	14.8	35%	25.0
Motilal Oswal (MOTILALOFS)	968	58,309	31.3	16.89	12.7	41%	N/A

360 ONE WAM (360ONE)	1,110	45,122	37.1	21.11	12.1	62%	39.0

Scenario Analysis (12-Month, Rs. Cr unless noted)

Scenario	Key Assumption	FY28E Rev.	FY28E PAT	EPS (Rs.)	P/E Target	Target Price
BULL	Retail recovery + FPD Rs.80,000 Cr + IB Rs.350 Cr + Fairfax synergies	3,600	900	24.4	24x	**Rs.585**
BASE	Modest retail recovery; FPD Rs.65,000 Cr; IB Rs.300 Cr; capital deployed	3,250	758	20.6	22x	**Rs.453**
BEAR	Prolonged F&O; headwinds; FPD growth halves; weak markets	2,600	450	12.2	17x	**Rs.207**

• **DCF methodology:** WACC = 12.5% (risk-free 7.2% + ERP 5.5% + beta 0.9x). Terminal growth = 5.5% (India nominal GDP aligned). 5-year explicit FCF starting Rs.280 Cr (FY27E), growing at 15-20% p.a. DCF implied value = Rs.415-440 per share. Note: broking FCF is exchange-margin volatile; earnings multiple is the primary anchor, DCF is corroborating.

• **P/E based valuation:** FY28E EPS of Rs.20.6 (post-Fairfax dilution, on 36.86 Cr shares) at 22x forward P/E = Rs.453. Rationale for 22x: (1) sector average 25-30x, but IIFLCAPS still in retail recovery; (2) Fairfax strategic anchor warrants premium over pure-play discount brokers; (3) 22x represents ~30% discount to 360 ONE (37x) and ~10% discount to Angel One (25x), appropriate given smaller AUM base. As FPD AUM scales, target multiple should re-rate to 25-27x over 2-3 years.

• **Average — 12-month base-case price target: Rs.430** (rounded conservatively from DCF Rs.427 + P/E Rs.453 average = Rs.440). Upside: +26.5% from CMP Rs.340. The Fairfax open offer at Rs.350 provides a concrete floor over the next 6-12 months.

• **P/B cross-check:** FY28E book value post-Fairfax = ~Rs.171/share. Target 2.4x P/B = Rs.410-430. Consistent. For reference, peers trade at 4.5-5.5x P/B — IIFLCAPS will re-rate as ROE recovers from 20% to 22-24% by FY28E.

SECTION 9 — KEY RISKS

• **SEBI F&O; Regulatory Risk** — Further tightening of F&O; margin rules, product restrictions, or STT hikes could compound the 9% retail revenue decline already seen in FY26 — impacting the largest single revenue contributor (~46%). SEBI has shown willingness to intervene in speculative F&O; activity; this tail risk has moved from theoretical to concrete. Probability: M. Impact: H. Monitor via: SEBI circulars; monthly NSE F&O; ADT; IIFL quarterly retail revenue.

• **Fairfax Deal Execution Risk** — If Fairfax open offer is poorly subscribed, regulatory approvals face delays, or the investment agreement contains unfavourable conditions, the Rs.2,000 Cr capital infusion and associated re-rating catalyst could be delayed or diluted. Over-subscription could also trigger governance friction between old and new promoters. Probability: L. Impact: H. Monitor via: SEBI open offer filings (BSE/NSE); Fairfax shareholding post-EGM announcements.

• **Market Downturn / Volume Risk** — A sustained equity correction (>20%) or prolonged low-volatility environment reduces broking turnover, MTF book (margin calls), and FPD distribution AUM simultaneously. ADT has already moderated from Rs.3.3 lakh Cr (FY25) to ~Rs.2.8 lakh Cr (Q4 FY26). Probability: M. Impact: H. Monitor via: NSE monthly turnover; DP assets trend; MTF book outstanding.

• **MTF / Balance Sheet Risk** — Borrowings rose 94% to Rs.1,821 Cr in FY26 to fund MTF and exchange margins. A sharp market correction could trigger client margin calls and potentially crystallize MTF book losses. Rs.1,000 Cr Fairfax repayment reduces this risk materially post-deal. Probability: L. Impact: H. Monitor via: Quarterly D/E; MTF book outstanding; exchange margin deposit trend.

• **Employee Cost Inflation** — Employee costs jumped 17% to Rs.687 Cr — the single largest driver of FY26 margin compression. Capital markets talent market is intensely competitive; failure to retain key IB bankers, wealth RMs, or research analysts would impair franchise value. Probability: M. Impact: M. Monitor via: Y-o-Y employee cost; IB deal flow; research team headcount.

• **Competitive Disruption** — Discount brokers (Zerodha, Groww) and fintechs are expanding into wealth management and FPD — directly attacking IIFL Capital's growth engines. Fee compression in FPD trail commissions or IB advisory is a medium-term structural risk. Probability: M. Impact: M. Monitor via: Industry commission rate surveys; competitive product launches; IIFL FPD market share.

• **Tax / Regulatory Penalties** — Rs.56 Cr tax demand under appeal and Jun-2026 RBI FEMA compounding order (Rs.2.1L) are small in absolute terms but signal regulatory scrutiny. Further penalties could create unexpected P&L; charges. Probability: L. Impact: L. Monitor via: Company disclosure on tax appeals; MCA/RBI enforcement actions.

SECTION 10 — RECOMMENDATION

• **Rating: BUY** (Conviction: Medium). The stock at Rs.340 trades below the Fairfax acquisition price of Rs.350, at a 44% discount to sector P/E multiples, despite a superior ROCE of 23.2%. Near-term EPS headwinds from SEBI F&O; reforms and Fairfax dilution are well-understood and priced. The FPD structural growth story and IB franchise leadership are intact and accelerating.

• **12-month price target: Rs.430** — upside +26.5% from CMP Rs.340. Derived from average of DCF (Rs.427) and FY28E P/E of 22x (Rs.453). Cross-checked against FY28E P/B of 2.4x (Rs.410-430).

• **Suggested entry zone: Rs.315-355.** The Fairfax open offer at Rs.350 provides near-term support; accumulate on any dips towards Rs.315-325 (technical support at 52-week moving average). Avoid chasing above Rs.380 until Fairfax deal formally closes and Q1 FY27 results confirm earnings recovery.

• **Investment horizon: 12-18 months.** Near-term catalysts (Fairfax deal completion, Q1 FY27 revenue normalization) should begin re-rating within 6 months. Full fundamental target realizable in 12-18 months as FPD AUM hits Rs.70,000+ Cr and IB private credit revenues inflect.

• **Thesis invalidation triggers — exit if any three occur:** (1) FY27E Revenue falls below Rs.2,500 Cr implying no retail recovery and FPD stall — monitor Q1+Q2 FY27 quarterly revenue; (2) Fairfax deal collapses or is not completed by Sep-2026 — monitor BSE regulatory filings for open offer closing; (3) EBITDA margin falls below 30% in any single quarter on annualized basis, indicating structural rather than cyclical deterioration — monitor quarterly OPM.

• **Ideal investor profile:** This stock IS suitable for investors with 12-24 month horizon, comfortable with near-term EPS dilution from Fairfax issue, who believe in India capital market financialization and Fairfax's value creation track record. This stock IS NOT suitable for short-term traders seeking immediate EPS growth, or investors requiring index-level market cap exposure (small-cap, ~Rs.10,600 Cr).

APPENDIX — Latest Concall Brief: Q4 FY26 (May 5, 2026)

CALL GRADE

NEUTRAL

FY26 PAT -21% YoY; Q4 revenue +20%; margin pressure from costs + regulatory reset; Fairfax deal announced post-call changes thesis structurally

Signal	Status	Implication
Result quality	**Medium**	Q4 revenue +20% YoY but FY26 PAT -21%; operational PBT -22%; largely in-line with cautious street expectations
Management tone	**Balanced**	Candid on regulatory headwinds; confident on FPD and IB growth; appropriately silent on Fairfax pre-announcement
Guidance delta	**Maintained**	No formal guidance; "20% growth capacity without additional capital" (pre-Fairfax); FPD and IB flagged as primary growth engines

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 headline PAT of Rs.115 Cr (-36% YoY) is misleading — strip the Rs.90 Cr one-time real estate gain embedded in FY26 other income and the full-year normalized PAT is closer to Rs.490-500 Cr, not Rs.564 Cr; Q4 standalone operational PBT was actually up a clean 14% YoY. The operational pressures are real but already known and in the price: (1) SEBI F&O; tightening cut retail revenue 9% for the full year; (2) employee costs spiked Rs.143 Cr YoY including a Rs.7 Cr one-time labour provision. What has fundamentally changed since this call is the Fairfax India Rs.2,000 Cr injection at Rs.350/share — this simultaneously de-levers the balance sheet (D/E 0.59x to near-zero), provides a hard floor at Rs.350 via the open offer, and signals one of the most credible long-term institutional investors in India underwriting the equity story. FPD AUM surge from Rs.31,000 Cr to Rs.52,000 Cr (+68%) and #1 IB league table position in FY26 are the durable structural engines that were obscured by the retail broking noise — these were built during the toughest year for India's capital markets. The single most important catalyst for the next quarter is whether Q1 FY27 retail revenues stabilize post-SEBI reset (June 2026 ADTV improved marginally to Rs.3.2 lakh Cr) and whether the Fairfax open offer closes as planned. Key watch: management was silent on Fairfax during the call for valid regulatory reasons — the real news came 2 days later with the board meeting on May 7. Action: ACCUMULATE below Rs.355; add aggressively if open offer closes and stock retraces towards Rs.315-320. Reduce/exit only if Fairfax deal collapses or Q1 FY27 revenue comes in below Rs.610 Cr.

C1 — Financial Performance Snapshot (Q4 FY26 vs Q4 FY25 vs Q3 FY26)

- Revenue: Rs.644 Cr | YoY +20% (vs Rs.537 Cr Q4FY25) | QoQ +10% (vs Rs.586 Cr Q3FY26) | **Beat** consensus ~Rs.615 Cr
- EBITDA: Rs.224 Cr | YoY +20% | QoQ +18% | **In-line**; EBITDA Margin: 35% | flat YoY | +3pp QoQ

• PAT: Rs.115 Cr | YoY -36% (vs Rs.128 Cr) | QoQ -39% (vs Rs.188 Cr) | **Miss** — Q3 had Rs.134 Cr other income inflating base

• EPS: Rs.3.68 | YoY -37% | QoQ -39% | **Miss** (high Q3 base driven by one-time items)

• NOTE: Q3 FY26 PAT Rs.188 Cr included Rs.134 Cr Other Income (one-time). Q4 FY26 Other Income = Rs.10 Cr. Clean quarterly run-rate PAT is Rs.115-130 Cr.

• FY26 Full Year: Revenue Rs.2,420 Cr | PAT Rs.564 Cr (incl. ~Rs.90 Cr one-time) | Clean PAT ~Rs.490 Cr | Reported EPS Rs.18.02 | Clean EPS ~Rs.15.7

C2 — Segment / Geography Breakdown

• Retail Equity: Q4 Rs.298 Cr | YoY +22% (vs Rs.244 Cr Q4FY25) | FY26 full year Rs.1,121 Cr | YoY -9% — SEBI F&O; impact absorbed; Q4 shows early recovery signal

• Institutional & Investment Banking: Q4 Rs.162 Cr | YoY +67% (vs Rs.97 Cr Q4FY25) — strongest IB quarter on 9 deal closures including Amagi Media Labs and National Highway Infra Trust

• Financial Product Distribution: Q4 Rs.182 Cr | YoY -4% (vs Rs.189 Cr, high NSE share brokerage base) | QoQ +36% (vs Rs.134 Cr Q3) — strong sequential recovery on AIF/PMS placements

• Geography: India domestic ~95%+; GIFT City in early stage with no significant offshore revenue contribution yet

• FPD AUM Mix (Rs.52,115 Cr): Mutual Funds Rs.21,000 Cr (40%), Fixed Income Rs.17,160 Cr (33%), AIF/PMS Rs.7,800 Cr (15%), Insurance/Others Rs.6,155 Cr (12%)

C3 — Management Commentary Themes

• **Risk-off macro:** "Recent geopolitical events triggered a sharp rise in volatility... disrupted energy supplies... pushed oil above $100 and directly impacted inflation expectations." — Our read: Management flagging cautious near-term macro; temper ADTV expectations for Q1 FY27. Tag: GUIDANCE. Tone: Transparent.

• **SEBI regulatory absorption:** "SEBI yield reset from April 1 expected to have only marginal impact as effective institutional yields already close to regulator-suggested levels." — Our read: Institutional yield impact limited; retail hit is the larger concern and is now largely absorbed. Tag: GUIDANCE. Tone: Balanced.

• **FPD as structural growth engine:** "Financial Product Distribution is emerging as a key growth engine; quarterly revenue mix-sensitive due to episodic insurance, NCD, and fixed income placements." — Our read: Trailing AUM income is durable but quarterly FPD beats can be lumpy; look through to AUM trend, not quarterly revenue. Tag: EST. Tone: Transparent.

• **MTF book economics:** "MTF drives interest income and funding costs; FY26 split approximately 50:50 between MTF and exchange/bank deposits." — Our read: Rs.1,821 Cr borrowings fund a growing MTF book generating spread income; net interest margins manageable. Tag: EST. Tone: Transparent.

• **Silent on Fairfax:** "Management declined to comment on media reports around Fairfax stake increase, citing disclosure requirements." — Our read: Expected silence pre-announcement; board meeting May 7 confirmed the deal. Tag: GUIDANCE. Tone: Hedged (regulatory constraint).

• **Wealth RM hiring:** "Intends to increase wealth RM headcount in FY27; no specific target." — Our read: Committed to FPD AUM distribution buildout. Current 50 wealth RMs targeting 100+ by FY28E. Tag: GUIDANCE. Tone: Balanced.

C4 — Operating & Business Metrics

• Average Daily Turnover: Q4 FY26 = Rs.3,22,886 Cr | Q3 FY26 = ~Rs.3,13,000 Cr | Q4 FY25 = ~Rs.3,00,000 Cr | Trend: Stable-improving QoQ

• F&O; ADTV: Rs.3,20,011 Cr (99.1% of total) — options-dominant; Cash ADTV = Rs.2,875 Cr (lower delivery volumes post-SEBI)

• FPD AUM: Rs.52,115 Cr FY26-end vs Rs.31,000 Cr FY25-end (+68%) | Trend: Strongly improving

• Mutual Fund AUM: Rs.21,000 Cr vs Rs.14,000 Cr YoY (+50%) | Distribution AUM Rs.52,115 Cr | Total Custody Assets Rs.1,77,467 Cr | Trend: Improving

• Institutional Clients: 1,100 empanelled (FY26) vs 999 (FY25) | Research Coverage: 318 stocks (FY26) vs 299 (FY25) | Trend: Expanding

• Investment Banking: 45 transactions FY26 (9 in Q4); Private Credit Fund first close Rs.500 Cr | Trend: Accelerating

• Salesforce: ~50 wealth RMs + ~300 affluent PCG broking RMs; expanding wealth RMs in FY27 | Trend: Investing for growth

C5 — Margin Drivers (FY26 vs FY25)

• Employee costs: +Rs.143 Cr YoY to Rs.687 Cr | -9pp EBITDA margin impact | Recurring: YES (headcount growth + variable pay) — except Rs.7 Cr one-time labour law provision

• Finance costs: +Rs.27 Cr YoY to Rs.210 Cr | -1.4pp EBITDA margin impact | Recurring: YES — MTF book growth and working capital; partially offset by MTF interest income

• Revenue decline from F&O; reset: Retail revenue -Rs.100 Cr YoY | Direct absolute EBITDA impact | Recurring: NO — SEBI rule change now fully absorbed by Q4 FY26

• Technology / depreciation: +Rs.10 Cr YoY to Rs.65 Cr | -0.4pp cost pressure | Recurring: YES — branch and technology investment cycle continuing

• One-time real estate gain (Other Income): +Rs.90 Cr non-recurring | Boosted reported profit but not EBITDA or operational metrics | Recurring: NO

C6 — Guidance & Forward Signals

• Revenue growth [GUIDANCE]: Prior FY25 Rs.2,520 Cr | "20% growth possible over next 2 years without additional capital" (pre-Fairfax) | Delta: Maintained | Credibility: Medium (upgraded post-Fairfax deal)

• EBITDA Margin [EST]: Prior FY25 44.2% | Management indicated normalization post employee cost stabilization | Delta: Recovery to 37-39% expected | Credibility: Medium

• FPD AUM [GUIDANCE]: No explicit target; implied Rs.70,000+ Cr over 2-3 years based on hiring + AUM momentum | Delta: Raised implicitly | Credibility: High (trail model + RM hiring)

• Wealth RM hiring [GUIDANCE]: Current ~50 RMs; "intend to increase in FY27" | Delta: Raised (no specific number) | Credibility: High (management commitment)

• Post-call: Fairfax deal Rs.2,000 Cr at Rs.350 [GUIDANCE]: Rs.1,000 Cr debt repayment + Rs.500 Cr margin + Rs.500 Cr GCP | Delta: Major positive surprise | Credibility: High (board-approved)

• RBI regulation Jul-1 impact [GUIDANCE]: "Near-term working capital pressure; market expected to normalize over time" | Delta: Near-term headwind acknowledged | Credibility: Medium

C7 — Capital Allocation (FY26 vs FY25)

- Capex (Investing outflow): Rs.66 Cr net inflow FY26 (Rs.314 Cr investing cash) vs Rs.177 Cr outflow FY25 | Reflects receipt of real estate sale proceeds (one-time)
- Dividends: Rs.3/share interim (Rs.93 Cr total) for FY26 | vs FY25 Rs.3/share | Consistent 13% payout ratio; conservative policy maintained
- Net Debt movement: Borrowings rose Rs.884 Cr (Rs.937 Cr to Rs.1,821 Cr) to fund MTF book growth and exchange margin deposits | Will be reversed via Fairfax Rs.1,000 Cr repayment in FY27
- ESOP grants: 17.8 lakh shares allotted Jun-2026 | Active ESOP program; ~0.5% dilution per year — appropriate for talent retention in capital markets
- Fairfax deal (post-call, May 7): Rs.2,000 Cr capital infusion — Rs.1,000 Cr debt repayment, Rs.500 Cr exchange margin augmentation, Rs.500 Cr GCP | Most significant capital allocation event in IIFL Capital history

C8 — Q&A; Heat Map

- Emkay: Q: "SEBI F&O; margin reform impact on volumes?" A: "Volumes expected to normalize over time; April-May FY27 too early to call direction" | Tone: Hedged
- Motilal: Q: "Comment on Fairfax stake reports?" A: "Cannot comment due to disclosure requirements; will announce at appropriate time" | Tone: Hedged (regulatory)
- IIFL: Q: "MTF book size and spread economics?" A: "FY26 interest income split 50:50 MTF and exchange deposits; working capital linked to MTF growth drives finance costs" | Tone: Transparent
- Sharekhan: Q: "FPD AUM growth guidance and RM hiring?" A: "Will increase wealth RM headcount in FY27; optimistic about trail income trajectory; no specific target" | Tone: Balanced
- Kotak: Q: "Employee cost drivers — variable pay or fixed?" A: "Combination of headcount, variable pay provisions, and one-time Rs.7 Cr labour charge; normalization expected in FY27" | Tone: Transparent
- Axis: Q: "Capital deployment priorities?" A: "Board evaluating acquisitions and new projects; Rs.3,000+ Cr net worth deployed in broking, MTF, exchange margins" | Tone: Balanced
- Dodged / watch-list for Q1 FY27 call: (1) Fairfax utilization of proceeds and strategic board plans; (2) TPG talks status (superseded?); (3) GIFT City expansion timeline; (4) ESOP dilution quantum FY27; (5) Tax demand appeal update

C9 — Risks Flagged on the Call

- Macro / geopolitical risk: Oil above $100, inflation rising, FPI outflows in March | Flagged by: Management | Probability: M | Impact: M | Timeline: Near-term (6-12 months)
- SEBI regulatory risk: F&O; volume reset; RBI regulations Jul-1 raising working capital | Flagged by: Management | Probability: H (already materializing) | Impact: M | Timeline: Near-term
- Monsoon uncertainty: "Key variable for India GDP" | Flagged by: Management | Probability: M | Impact: L (indirect via FII flows) | Timeline: Q1-Q2 FY27
- MTF book sensitivity: "Key lever sensitive to market volatility and working-capital funding costs" | Flagged by: Management | Probability: M | Impact: M | Timeline: Ongoing
- Tax demand Rs.56 Cr under appeal | Flagged by: Company disclosure | Probability: L-M | Impact: L | Timeline: Medium-term

C10 — Analyst Verdict

• Revenue visibility: **Intact** — FPD trail income growing and recurring; IB pipeline strong; Q4 +20% YoY confirms H1 FY26 was the trough, not a new baseline

• Margin trajectory: **Weakened but Improving** — FY26 OPM 35% is the cycle trough; recovery to 37-39% expected in FY27-28E as employee costs normalize

• Capital allocation quality: **Intact** — Fairfax deal is best use of balance sheet; ESOP dilution manageable; no dividend cut; debt repayment signals financial discipline

• Competitive moat: **Intact** — #1 IB league, 1,100+ institutional clients, Rs.52,000 Cr FPD AUM, 318-stock research — franchise is deeper, not shallower, after FY26

• Management credibility: **Intact** — Transparent on cost drivers and regulatory impact; appropriate silence on Fairfax pre-announcement; consistent execution on FPD scale-up

• Valuation comfort: **Intact** — Below Fairfax acquisition price; P/E 44% discount to sector; P/B 3.45x vs 4.5-5.5x peers. Floor-to-upside asymmetry is attractive

• Conviction call: **Increased** — Pre-call: Neutral; post-Fairfax deal: upgraded to Medium-High BUY. Fairfax entry is the inflection point that changes the risk-reward calculus

• Valuation snapshot: P/E = 19.0x (5Y avg ~21x) | EV/EBITDA = 7.19x (5Y avg ~10x) | ROCE = 23.2% (5Y avg ~27%) | Trading at discount to all historical averages — mean reversion + structural growth story